

**BAKER
HUGHES**

Rpt Date 04/Dec/2006			Well Name/No Bilabri D4			Section Name/No 12-1/4" Section #3			Mud System SYN-TEQ (PARA)									
Job# 1		Spud Date 09/Nov/2006			MD 817.00 m			Progress 0.00 m		Present Activity Wait								
Operator Peak Petroleum Indust. Limited			Company Rep James Blackmon / Chris Newton			Contractor Dolphin Drilling Ltd			Contractor Rep Ally Tough / Troy Nolan									
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria			Rig BULFORD DOLPHIN								
Drilling Assembly						Casing		Volumes	Pump Information									
Bit Gauge in		Mfr		Bit Model		OD in	ID in	Depth m	bbl	Model		Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min	
12 1/4		Baker		Baker Hughes			19 1/2	172.50	Total Hole	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0		
Drill Collars			Drill Pipe			36	31 3/4	262.00	562.7	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0		
OD in	ID in	Length m	OD in	ID in	Length m	20	18 3/4	291.60	Active Pits	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0		
7 15/16	2 3/4	9.02	5	4.276	512.76	13 3/8	12.415	800.00	475									
7 13/16	2 13/16	63.93	5	3	158.56		12 1/4	817.00	Tot Active									
8	2 3/4	18.27							1037.7	Circulation Times								
									In Storage	Surface to Bit		min/stks		Total System		min/stks		
									890	Bottoms Up		min/stks						
Mud Properties						Max Ann Velocity			Hole Information									
Property			Fluid Spec		1	2	3	AV Riser	ft/min	Standpipe Pressure		psi	Water Depth		146.00 m			
Sample From					Active Pit			AV Casing	ft/min	Hole Flow		USgal/min	Riser Booster Rate		USgal/min			
Check Time					23:30			AV Open Hole	ft/min	Solids Analysis								
MD m					817.00			Vc Open Hole	ft/min	Property		1	2		3	4		
TVD m					817.00			Vc Drill Pipe	ft/min	LGS %		6.26						
Bit Depth m					779.00			Min Ann Velocity		LGS lb/bbl		57.06						
Density ppg			10.00-10.50		10.10			AV Riser	ft/min	HGS %		4.84						
Funnel Visc. sec/quart					95.0			AV Casing	ft/min	HGS lb/bbl		71.20						
Test Temp degF					120.0			AV Open Hole	ft/min	Avg Dens Sol sg		3.2973						
Rheol Temp degF					120.0			Bit Information										
PV cP					34			Size	12 1/4 in									
YP lbf/100ft^2					22			Hours On Bit										
10sec Gel lbf/100ft^2					12			Bit Number										
10min Gel lbf/100ft^2					18			BHA Number	4	Rheology								
HTHP Filtrate cc					4.0			Depth In	m	600 RPM		90						
HTHP Cake in/32					2.0			Bit RPM		300 RPM		56						
HTHP Temp degF					250.0			WOB	klbf	200 RPM		47						
HTHP Pressure psi					500			Nozzles	8x18	100 RPM		30						
Retort Water %					31.0			Bit Hydraulics		6 RPM		12						
Retort Base Fluid %					56.0			TFA	1.9880 in^2	3 RPM		11						
Retort Solids %					13.0			Nozzle Vel	ft/sec									
Corrected Solids %					11.1			Bit Press Loss	psi									
Oil:Water Ratio					64:36			HHP / Area	HP/in^2	Hydraulic Analysis								
Alk (Whole Mud-POM) cc/cc					1.00			HHP	%	Behavior Index (n)								
Cl (Whole Mud-Clom) cc/cc					48000					Consistency Index (k)								
Ca (Whole Mud-Caom) cc/cc					0					#sec^n/100ft^2								
Excess Lime lb/bbl					1.3					ECD @ Bit Depth								
										ECD @ Casing Shoe								
Brine Density sg					1.17			Fluid Comments/ Recommendations										
NaCl % wt					0			Circulated btms-up twice during tour.										
CaCl2 % wt					20													
Elect. Stab.V					376.0													
Sand %					0.20													

**BAKER
HUGHES**

Rpt Date 04/Dec/2006			Well Name/No Bilabri D4			Section Name/No 12-1/4" Section #3			Mud System SYN-TEQ (PARA)														
Job# 1		Spud Date 09/Nov/2006			MD 817.00 m			Progress 0.00 m			Present Activity Wait												
Operator Peak Petroleum Indust. Limited			Company Rep James Blackmon / Chris Newton			Contractor Dolphin Drilling Ltd			Contractor Rep Ally Tough / Troy Nolan														
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria			Rig BULFORD DOLPHIN													
Solids Control Equipment																							
Name		#	Mfr	Hours hours	Screen Sizes		Act Volume Lost bbl		Res Volume Lost bbl		Comments												
CENTRIFUGE		1		0.0			0.0		0.0														
CENTRIFUGE		2		0.0			0.0		0.0														
DESANDER		1		0.0			0.0		0.0														
DESILTER		1		0.0			0.0		0.0														
MUD CLEANER		1		0.0	175, 210		0.0		0.0														
SHALE SHAKER		1		0.0			0.0		0.0														
SHALE SHAKER		1		0.0	3 x 175		0.0		0.0														
SHALE SHAKER		2		0.0			0.0		0.0														
SHALE SHAKER		2		0.0	3 x 110		0.0		0.0														
SHALE SHAKER		3		0.0	3 x 175		0.0		0.0														
SHALE SHAKER		3		0.0			0.0		0.0														
					Total Volume Lost		0		0														
Volumes																							
Additions bbl				Losses bbl				Total Volumes bbl															
Mud Added		Weight Materials		Downhole		Left In Pit		Starting Volume		1927.7		Riser w/o Pipe		209.1									
Brine		Water		Cased Off		Trip Losses		Daily Additions				Casing w/o Pipe		383.2									
Base Fluid		Product		Left In Hole		Injected		Daily Losses				Open Hole w/o Pipe		8.1									
Recycled		Other		Discharged		Spill To Environment		Ending Volume		1927.7		String Displacement		37.6									
				SCE		Onshore Disposal		Net Change				String Capacity		37.2									
				Evaporation		Returned						Total Hole w/ Pipe		562.7									
				Other Losses								Total Active		1037.7									
												Total Reserve		890.0									
IADC Hours																							
Drilling Formation				0		Tripping		0		Circulate		1		Wait		23							
Primary Currency USD				Secondary Currency				Totals USD															
Daily Product Cost				0.00				Daily Product Cost				0.00				Primary Product				184799.10			
Daily Tax				0.00				Daily Tax				0.00				Secondary Product				0.00			
Debit/Credit				0.00				Debit/Credit				0.00				Primary Engineering				34256.25			
Daily Engineering Cost				1350.00				Daily Engineering Cost				0.00				Secondary Engineering				0.00			
Total Daily Cost				1350.00				Total Daily Cost				0.00				Primary Total				219055.35			
Total Inventory Value				585092.50				Total Inventory Value				0.00				Secondary Total				0.00			
																Deck Load				755008 lb			
Products and Services																							
Product		Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Unit Price	USD	Daily Cost	USD	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl								
Bulk																							
MIL-BAR		1000 kg	145						145	540.00				88.96	103.92								
Oil Based Product																							
CARBO-GEL		25 kg	80						80	264.28													
MIL-LIME		25 kg	80						80	34.25													
OMNI-COTE		55 USgal	4						4	2150.00													
OMNI-MUL		55 USgal	16						16	995.06				1.70	0.62								
OMNI-PLEX		55 USgal	10						10	1618.95				0.85	0.31								
OMNI-TEC		55 USgal	14						14	925.00				0.90	0.33								
PARA-TEQ		1 bbl	1315						1315	280.00													
Water Based Product																							
CAUSTIC SODA		25 kg	32						32	37.89													
MIL-GUAR		25 kg	50						50	135.00				0.57	0.66								
SOLUFLAKE		25 kg	80						80	57.24													
Xanthan Gum		25 kg	40						40	345.22				0.97	1.14								
XCIDE 102		55 USgal	1						1	2508.30				0.01	0.01								
LCM																							
CALCIUM CARBONATE - FINE		25 kg	160																				